government officer to take over the management of an industrial undertaking if, after an investigation, it believed it was being managed in a manner highly detrimental to the industry concerned or the public interest. IDRA-1951 also empowered the Central government to restart a sick industry if it was of the opinion that the finances as well as condition of the plant and machinery could be properly utilized in production.

IDRA-1951 could not prevent industrial sickness. The government came up with special legislation to address industry-specific sickness such as the Cotton Textile Companies (Management of Undertakings and Liquidation or Reconstruction) Act, 1967; the Sick Textile Undertakings (Taking Over the Management) Act, 1972; and the Sick Textile Undertakings (Nationalization) Act, 1974. Later in 1985, an omnibus Sick Industrial Companies Act (SICA-1985) was enacted to detect industrial sickness in general and provide for revival.

The government takeover by nationalization proved to be no solution. The government was not a better entrepreneur than the private industrialist. In some cases, the special legislations and SICA-1985 were used to benefit some friends of the ruling party (crony capitalism) by socializing the private sickness at a public cost. In general, neither the taking over of the private industry by the government nor the special and general legislations to cure industrial sickness yielded any positive results.

The sickness kept spreading. As per information tabled in the Parliament in response to a question in 1985, it was reported that there were over 60,000 sick undertakings in the country in 1982. With the number rising by several thousand a year, the count of sick industries reached close to 1 lakh by 1984.

Incipient Reforms Began in the 1980s

The fact that the industrial policy resolutions of 1950s, the monopolization of investments in heavy industry in the public sector, the restrictive